

**SUBSTITUTE FOR
SENATE BILL NO. 311**

A bill to require the adjustment of reimbursements made to child care providers under the child development and care program for inflation; and to provide for the powers and duties of certain state and local governmental officers and entities.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. As used in this act:

2 (a) "Child care provider" means that term as defined under
3 section 2 of the child protection law, 1975 PA 238, MCL 722.622.

4 (b) "Department" means the department of lifelong education,
5 advancement, and potential.

6 (c) "Detroit-Warren-Dearborn Consumer Price Index" means the
7 most comprehensive index of consumer prices available for the
8 Detroit-Warren-Dearborn area from the United States Department of



1 Labor, Bureau of Labor Statistics.

2 (d) "Program" means the child development and care program.

3 Sec. 3. (1) Beginning 90 days after the effective date of the
4 amendatory act that added this section and every July 1 thereafter,
5 the department must determine the average percent change to
6 inflation for the preceding 12 months of the Detroit-Warren
7 Dearborn Consumer Price Index.

8 (2) Beginning October 1, 2027 and every October 1 thereafter,
9 the department must adjust payment rates under the program made to
10 a child care provider for the corresponding fiscal year by the
11 average percent change to inflation as determined in subsection (1)
12 if both conditions are met:

13 (a) The determination in subsection (1) would result in an
14 increase in payment rates.

15 (b) The department has not adjusted payment rates for the
16 corresponding fiscal year in accordance with 45 CFR 98.45.